I remember years ago having a prolonged Boardroom discussion about the use of the words "affect" vs "effect ". The question on the table was whether our organization was "affecting" the community or were we having an "effect" on the community? The more substantive points that were made in that discussion have become less valuable to me than the recognition of how much fun words can be, and how the choosing the correct word is a responsibility when spoken, but an even greater responsibility to the one who puts the words on paper. Let's give it a try.

I recently had a conversation with a gentleman who, with all good intention, framed his commentary on the current business environment of real estate. He began the narrative with a comment about the effect of rents being more difficult to collect due to California's statewide rent control legislation and the eviction moratoriums, coupled with the cost of materials going up dramatically. He used the cost of lumber to evidence inflation (i.e., lumber has been scarcer, and the price of scarce commodities tend to go up). The commentary continued about the likely effect inflation will have on our ability to purchase properties at reasonable prices.

He shared his concerns that were clearly promulgated by broad strokes of data from an even broader cross section of voices. So, recognizing that his questions were spurred by the effects of journalism, and that you may have some of the same questions as well, I affectively saw his narrative as a sort of gift to us all.

In our history of inflation, most people acknowledge that real estate has been an undeniably powerful wealth-building asset. Real estate was perhaps the first and largest asset class ever since Noah ran ashore in the Ark on a mountaintop near modern-day Turkey. He stepped off the Ark effectively owning all the real estate in the world.

My first response is to say that VisionWise Capital has been "affected" but not "effected" by many of the inflation discussions that draw investor concerns. Let me explain. We have been affected by a delay in deliveries, but it has born little effect on our turnaround times. The added cost of goods has been predictable as well, so we have been able to adjust our underwriting to include the affective cost of effectively renovating a property. We have over 47 contractors run by our in-house general contractor, and our crews have not missed a deadline or a completion date for any of our portfolio renovations. Not only do our contractors show up on time, they also give VWC priority because of the volume of work that we provide coupled with paying them on time and treating them and their work schedules with respect.

There is no doubt that some commodities have increased substantially in price. Lumber is a great example, with a sheet of plywood increasing by as much as four times the cost in the last 18 months. This has mainly affected our cabinet prices. But in the scheme of all capital expenditures, cabinet cost increases have only accounted for an 8% increase in overall renovation costs. Knowing this on the front end allows us to simply include that cost structure in our underwriting.

(Insert a before and an after image of 374 Cypress)

So, today, we are a net Seller of properties. And since inflation also affects rental rates, our strategy is unchanged: we buy apartment properties that have been owned a long time by the same owner, are undermanaged and in need of our renovation touch to justify raising the rents to the level of the surrounding market. For those deals, we are a Buyer. The affective mantra for VWC is "We work hard to find the easy deal."

Covid-19 and the ensuing pandemic has affected us, without question. But the affect we are having on our residents has remained effective, with the role of "landlord" being as important today as ever before. We continue to be Sellers of a Buyer's solution, and Buyers of a Seller's problem. With what we do, we both ***affect*** the community, and have a positive ***effect*** on the communities we serve, which begins and ends with our investors.